# The Biggest Investing Mistake Might Be Your Own Conviction

**Podcast:** Know your risk

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# AI Executive Summary

**Core Thesis** The speaker argues that while US markets are experiencing significant valuation premiums, a major macro shift—specifically the breaking of the long-term US dollar uptrend—is creating a generational opportunity in international equities and commodities. While maintaining a fundamental skepticism toward "bubble" valuations in AI, the speaker suggests exploring "right tail hedges" in semiconductor supply chain components (like RAM) due to massive structural supply/demand imbalances. Simultaneously, the speaker warns against overexposure to oil, suggesting that geopolitical shifts regarding Iran and the Strait of' Hormuz may remove the necessary risk premium for sustained upward price action.

**Key Arguments & Data * Market Performance & Commodities: * Indices:** The Dow closed up 0.49%; the S&P 500 finished slightly down (~0.2%); the Nasdaq fell 0.83%; and the Russell 2000 declined by 0.5%. * **Precious Metals & Miners:** A significant rally occurred in gold (up ~4%) and silver, with gold miners (GDX) up 7.5% and silver miners (SLV) up 4.14%. * **Currency & Rates:** The US Dollar Index (DXY) retreated below the 100 level. Bond yields saw slight pullbacks, with the 30-year at 5.16% and the 10-year at 4.6%. * **The AI/Tech Debate: * Valuation vs. Growth:** The speaker acknowledges high multiples in tech but notes that companies like Nvidia may have their lowest forward earnings multiples in five years, potentially justified by massive growth rates. * **Supply Chain Imbalance:** A critical "picks and shovels" opportunity exists in RAM and memory. While foundry capacity increases by only ~20% annually, demand for RAM is projected to increase by over 100% annually, creating a structural shortage. * **Risk Management:** The speaker suggests using "right tail hedges" (positions that profit from extreme upside) in semiconductor components rather than chasing high-multiple hyperscalers. * **Macro & Geopolitical Trends: * International Opportunity:** There is a record valuation delta between US stocks and the rest of the world. The speaker posits that the long-term uptrend of the USD has broken, making international markets highly attractive. * **Oil & Iran:** The speaker believes the Trump administration may move toward "capitulation" or a settlement regarding Iran to avoid large-scale conflict in the Strait of Hormuz. If the

geopolitical threat to oil transit is neutralized, the incentive for a major upward spike in oil prices (currently around $75) diminishes. * **Monetary Policy:** * The speaker advocates for the Federal Reserve to "stay pat" on interest rates, arguing that neither immediate hikes nor cuts are currently justified by the prevailing data.

**Actionable Takeaways * Mitigate Home Country Bias:** Investors should look beyond US-centric portfolios and evaluate international equities where valuation spreads compared to the US are most extreme. * **Target the AI Supply Chain:** Rather than focusing solely on software or hyperscalers, consider exposure to the underlying infrastructure—specifically companies involved in memory (RAM) and semiconductor manufacturing capacity. * **Monitor the US Dollar Trend:** Use the 100 level of the DXY as a key indicator; a sustained move below this level supports long positions in commodities and international assets. * **Exercise Caution with Oil Longs:** Avoid "outsize bets" on rising oil prices in the near term, as geopolitical resolutions regarding the Middle East could strip away the supply-side risk premium.

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# Full Transcript

In the world of investing, I think it's even more important that we're skeptics of our own takes. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I probably shouldn't say we They don't have a brain trust with me flying solo all by my lonesome today And not recording from home I don't know if I told you guys, but I'm on a little bit of a pseudo sabbatical Not really just because any Vacation I've ever taken since we start well probably since I started doing this job. It's definitely since we started the firm You know, I'm a market junkie and and my wife was It took her a few years to kind of understand that to realize that regardless of where we go whether I'm taking time off or not that It's probably gonna be more stressful for me to not know what's going on in markets now trading I don't know how many of you guys have done this for a living trading is a different game When I'm, if something drastic happens while I'm gone on vacation, I will put through some trades, but that's kind of the big thing I try to extract myself from. Um, cause that does feel like work, right? Your execution and all that other kind of stuff, but, but track and markets, um, is something that, that I'll never not do. I joke. I think I've missed like three or four market opens in the last 10 years and just through habit. I wish I was, oh, it's, I'm so disciplined. I always hit it. Nah, just, you know, you wake up that.

at that time since the beginning of your career. But anyway, um, it was driving by the office stay. So I thought I'd dip into the podcast studio to do today's show, uh, Chase is out. Um, I think I can't remember why I should know these things though. Gotta make sure we're cracking the whip on him. Uh, anyway, um, plenty to discuss nothing groundbreaking, I would say, um, except some interesting thoughts and some interesting things I read and observed and listened to regarding chips, AI, all that kind of stuff and a counterpoint that I think needs to be mentioned, I think needs to be discussed because in investing, you know, it's funny because a lot of people gladly refer to themselves as skeptics.

And what I found that that typically means that they're skeptical of everybody else's opinion except their own So in the world of investing I think it's even more important that we're skeptics of our own takes Because my own Misconceptions have been more costly to me than others than other people's misconceptions have been and I and you know I think that's kind of a story investing right? It's it's it's primarily a battle against ourselves almost like fitness That's certainly part of it and I want to present this because it was a good, first of all, I think that these people are knowledgeable. And I like to try to find the smartest, most knowledgeable, accomplished people that disagree with me. And as unpleasant as that can be at the beginning of that process, the amount I've learned and the amount of money it saved me and the amount of money it's made me is a lot. And I honestly think it's one of those exercises you do because of the point of the exercise, almost.

meaning going and earnestly seeking out the counterpoint to your own argument and finding the most credible and informed human being to do that with. That process alone has proven to be invaluable to me and has provided me a lot of rigor, a lot of disciplined architecture around my thinking. And then the other side of it is too, is sometimes you're going to go find those people and you are right. And all that does is kind of steal me on the argument in your own minds. So anyway, that's what I did regarding AI and certainly want to discuss that. Want to talk about the Iran update? I think that there is big news there. I think that this news is unlike things. I think that Chase and I see it a little bit differently. So I'm going to take full advantage of not having the brain trust in studio so I can dunk on his

opinion without him being here to argue back. I'm going to kick a man while he's down.

Anyway, so hey, let's get to the rundown though. So first of all, and I'm not used to doing this so bag with or bear with me here But let's see. So Dow closed up point four nine kind of a wild ride at one point I want to believe that I want to say the Dow was up about one and a half percent At one point the S&P was up point three point four point five somewhere in there on the highs of the day Dow finished up point four nine We don't care about the Dow, but I just the intraday swing was interesting S&P finished down just shy of point two so point one seven Nasdaq finished down point eight three Russell finished down a half I don't think there's a lot to glean from it, especially looking at the the the moves you saw yesterday I think coming into the day the Nasdaq was up 5% the S&P was up just shy of that on the week alone Doesn't really surprise me. I will say this though if you're looking at on a technical basis the S&P has certainly made a new high I don't believe it gave it back today. Um, and I when you look across the complex, I mean, let's flip to gold. Okay. Gold bouncing hard off that 4,000 level finished at 40, 4,300 4 to 4,309 was last quote. I got silver, uh, not nearly as impressive a day or excuse me. Silver was up big too. I'm looking at, um, let's see. I'm looking at, uh, bear with me here. Yeah. That was a monster rally. Okay. So you had, you had, um, We had gold up. I'm showing 4% just shy of 4% big move in silver God dang it CNBC not giving me the quotes quits or Chase's got the Bloomberg on his phone. So I've never taken the time to wire that in I Think that's what he does. He gets those quotes just sent right to his phone. Anyway, so but big day in gold GDX Let's see gold miners finished up seven and a half percent Silver miners big day for gold miners obviously Silver miners SLV finished up 4.14 kind of a double whammy there, right? We've got the dollar down. Let's pull up DXY. Where were we on the day? So, yeah dollar back down under a hundred for now Kind of a double whammy there, right? You see a pullback in oil pull back in the dollar. That's gonna typically equate To pretty solid for the gold miners certainly especially when you get a three to four percent rally there the price of gold As far as bonds yields pulled back in a little bit One day move can't make too much of it. You ever had a pretty big upside move. I just think it's a little bit notable because There's nothing we're seeing right now that it says lower rates, and I'm not sitting here telling you they should

hike I don't think that they should at present. I mean You know, I we all have our opinions on where we think things are in the cycle where we think things are going but if you look at present data and I've said this before on the show I think it's really I I think the easiest move to justify is sitting tight on rates as Uncomfortable as that is as much as we'd like them lower for homes You know if you put a gun to my head one way or the other right now You know, I really don't know it's one of those weird moments where I think that staying pat on rates is probably the right thing to do Now, having said that, I want to keep bringing this up because the further along we go in this, just when you look at all the machinations going around the market, all the crazy inputs, all the nonsense, foolishness, circular financing, jaw-boning from administrations, oil commodity prices that don't make any sense. I'm tired of people trying to explain to me why the price of oil makes sense. It doesn't. Just accept it. Quit trying to make a narrative and sound smart. It doesn't. When crack spreads exceed the price of oil, Oil market is extraordinary out of balance. You can see that anywhere. Okay, it's just just dumb But when you see all these when you see all these crazy machinations going on You know, I think it's really important to try to find a footing Right trying to look at things through a rational lens and when you do that when you look at just where what we're getting from the data Minus out all the noise from all sides of the spectrum I When you consider what's going on when you consider the inflation numbers we're looking at food price all that I think it justifies staying pat. Now, strong convictions loosely held. I reserve the right to swap my opinion out at any given time. But I think that's where you sit right now. Well, we'll see how that goes. Let's see here. Why do I always get my notes out of order? I don't know how that happens. God dang it. There we go. OK.

So 30 year like I was saying down to 5.16 10 year 4.6 So don't see them blowing out see the dollar easing back down oil easing back down those moves don't surprise me Definitely, I mean obviously we're always gonna keep our eye on rates, but Especially at these levels right we got to keep a tight a tight look at on these things because That's the other tough thing for those arguing for rate cuts Yeah, there's certainly some validity when they point to the pain you know the pain areas that higher rates are making I just again when you look at the whole picture I Just I just don't see in participatory cuts there, and I actually see that is probably being at least

over the near term Yeah, probably I think the more risky move Would be to cut here Substantially now the other thing I think we need to keep in balance is pulling back and always keeping in focus, the fact that the only place that 25 basis point interest rate moves really matter is at the Fed, the Eclipse building and CNBC studios, right? I mean, when you change the cost of the, when the SEC 30 day yield moves 25 basis points, that, now, if a 25, now could a 25 basis point be the, You know the straw that breaks camel's back sure but where we're sitting here today, you know, I don't think it's having a deal Other thing we had a nice bounce in at least Chinese again. I don't see Let's see where we're at. I believe it was I believe it was mostly all of Asia Let's see here, where'd that go? Let's go look at The proxy we're using now. No, so Korea Korea looks like we saw some weakness there as well Which is surprising dollar down a little bit surprised there Korea is going to be a monster of its own Chinese markets were doing pretty good today I believe Shanghai Composite was about 1.3 1.4% on the day again that that would go along with what we're seeing out of Out of the dollar move The other thing I will continue to say is that you know companies like Alibaba

China China's attacking this AI thing and their companies aren't getting any credit for whatsoever Now as we've said I'm not sitting here lobbying you to go throw your entire 401k or your IRA into Chinese equities. I only got some I only got a good play But if AI is gonna be really impactful to so many of our companies it's gonna be really impactful a lot of theirs, too You know, so one of the biggest critiques I have of this AI move is that it is so geographically located. Now people point to Korea. Yeah, but that's right. The Korean move is really a story about US demand, right? On the Chinese side, when you look at, you know, the valuation spreads are still there. And quite honestly, guys, when you look at the noise, when you look at what's going on in Iran this year, when you look at the noise that we've had with AI, and we'll have to see, I'm going to throw myself out there, we'll know probably within 90 days, if this call is correct. But The biggest macro trend that I see right now and that I think has the most durable legs is a weaker dollar. When you consider all the noise like I said that's going on year to date, I think it's really easy to take your eyes off of what happened in the previous 16 months. And in the previous 16 months, unlike virtually any of the 12, 13, 14 years preceding that, The United States was summarily

getting its butt handed to it by virtually every other international index. And we've covered this a lot, right? Primarily because it looks as though you've broken a long-term uptrend on the dollar. Or at least that you've started a downtrend. You add that to the issues that we have here domestically in the United States, and there's plenty of places around the world that have those issues as well. But you go look at the historical valuation spreads and the delta between US stock valuations and the rest of the world.

What that tells me definitively, I'm not gonna sit here and make an ass out of myself and put hard numbers on it. But what it does tell me definitively is that, you know, having an entirely US focused stock portfolio, which the vast majority of retail folks do is probably not the best idea, right? We still need that exposure. And what I would not be shocked at all to see is again, despite all this machination, Crazy moves 20 30 percent moves and trillion dollar companies overlay right the back and forth from AI the ups the downs, you know SK hynix AMD and micron all these different things That as this balance is back out in the Iranian issue if it does slip into the background right assuming that it does and I think we're getting closer to them I think everybody's, you know, I think it's kind of knocked investors around and it's got them all refocused and rejiggered on the US. I don't think that's the right place to be. I think there's stuff in the United States. I think there's stuff in the US. But I just think that the big opportunity is on a valuation basis, on a fundamental basis, on so many other, so many other, again, record Delta still between US valuations and the rest of the world. If you're just staring at US, which is what I'm hearing from a lot of retail, ironically. It shouldn't be ironic, right? It's easy to get home country bias. But I still think that allocation opportunity in international stocks is alive and well. So anyway, that's about it for the rundown. I didn't see anything else that was that incredible that need to be discussed that we hadn't covered. I know Chase covered some of the earning stories we had from yesterday, et cetera, et cetera.

One thing that I did want to get to you and hold down I'm getting a message here from Chase Hold on one second The one one thing that I did want to discuss really quick more of a housekeeping kind of thing I don't typically read the comments on the videos Or on the podcast. I don't really even read the comments at all. I even don't even like looking at Google. I don't like

looking at any of that stuff because I just For a whole host of reasons. I'm sure you all've heard other people talk about it and all that kind of stuff but but you This shows a little bit different because I just think that we've got really really smart Plugged in people that listen to it. So I was flipping through some of the comments and I saw something a kind of a theme going on about The way that we talk about Trump and I just want to make something clear and and I'm assuming that most of those comments are directed at me and Let me explain something with you guys right now The world is such an extraordinarily biased place and everywhere you turn in you're gonna listen to buy it bias and In the podcasting world and especially in the investment world There is so much nonsense. I I could sit here and tell you stories for hours About guys that I'm sure you all know I'm sure that you've seen them on interviews. I've seen you've seen them on podcasts I know a lot of these guys either they've interviewed me. I've interviewed them I have watched and a lot of them are good guys But I have watched them over the years kind of degenerate into a point where they're simply playing to the crowd They're trying to gin up extra views. They're trying to do stuff, you know like that, right? They're trying to be sensational or they're trying to erase their bad calls and magnify they're playing with it Everybody's got an agenda, right? We all know that the news does all that kind of stuff one of the fun things about the show for us is I have I don't track I mean, you know, we I see When I look I see the views on the videos, but I don't even look at that. Why it's not what we do We manage money for a living This is a way primarily for us to communicate with clients and then it's also proven to be a wonderful form of marketing because it puts a a track record out there meaning I always tell people like, you know, the bummer of doing a podcast is also the benefit of doing a podcast, meaning that whatever you say lives into perpetuity and people have a really good idea, whether you're full of it or whether you really know what you're talking about. And I think we get, I know that we get more right than we get wrong, but there's plenty of wrong stuff and you'll never see us try to scrub it off the internet. Um, Google reviews, the only people that leave Google reviews in my experience are people that are Nuts and Usually every single bad guba review we've ever received on the money management side of it has been people that have been with us for less than 14 months and I want to say we ran metrics on it I want to say 85 to 90% of them outperformed the the underlying index ESMP 500 while they were with us So so I my

point is saying Paying attention to the criticism is nonsense. Now, and I didn't say that this was criticism, but I just want to explain you the reason that we dance around the stuff with Trump is because if you want to hear anti-trump takes You can hear them anywhere Okay, the other side of it is that we need to inject a dose of humility anytime that we're criticizing anybody in that role Because by definition there are many things that they know that we don't Right. You got to put caveats in there second of all I'm going to be very honest and open whenever I criticize this administration because I voted for him. And most guys in my shoes don't talk that candidly. I just think we live in a world full of BS. We live in a world where everybody's trying to pimp some idea, trying to convince somebody of some nonsense that's completely illogical and it's BS, but it's self-serving. It makes them look good. That's everywhere. And I get freaking tired of it. I get tired of watching the, you know, on my iPhone, seeing the news, you know, the little news things come up and you read the headline and you go, there's so much bias just in your headline, right? I'm just, we live in a world where we're constantly being worked and it just drives me nuts where I'm like, listen, tell me what happened. Don't tell me how you think I should feel about it and how your little sister that lives in Topeka, Kansas was crying about it. I don't care.

Right. Tell me what you know. Give me the story. And I'm a big boy. Let me make up my own call. And that's my whole thing. I don't want people thinking I'm begging on. If I bag on Trump, it's because I think he did something stupid or said something stupid. If I give him a compliment, it's because I think it's smart. Okay. Do I wish that there are a bunch of things Trump would have done differently, especially in the second term? Yes. A hundred percent. Yes. This Iran thing being front and center. But, you know, It'd be kind of in vogue for me to jump on the anti-trump train and just beat on him constantly I'm not gonna do that though because it's disingenuous There are people are you regret the votive form? No I don't regret that I voted for him. I think Kamala Harris had been a bigger disaster I wouldn't hire Kamala Harris to manage a lemonade stand now after the first year and a half or two of this administration I'll tell you that I'd be far less excited to hire a tire trump to run my lemonade stand because of some of the decision-making I've seen that just doesn't make any sense. But I'm not dancing around it. I'm not avoiding it. I'm not trying to make excuses or I'm not

trying to make cover. I am trying to honestly relay what my thoughts are in context with full disclosure of any bias that I may have. Because I don't think we're going to save the world or be the only... I just...

If we're not a place that's not putting out honest information that isn't aimed at being self-serving or aimed at promoting and pushing our ideas to the top and getting us more clicks then I can't criticize anybody else for doing the same thing and hopefully that's come across that we're That's all we're trying to do is relay information here. So anyway, little housekeeping deal but moving on There is one thing we have talked at great length about the ideal. And there is a podcast out there that I think everybody should watch. I've only seen about a quarter of it yet. I'll finish the rest of it this evening. And it's called Invest Like the Best by Patrick O'Shaughnessy. And he's interviewing a guy named Gavin Baker. Now, when Gavin Baker talks, I listen. And let me explain why. Every time I have been too dour on technology stocks in particular, Gavin Baker has been on the other side of it.

And he has been right more as it relates to technology stocks than I have and Because we had differing opinions on a lot of these technology stocks at different points along the run over the last eight years You know Years ago. I thought he was an idiot After several times of being right me being wrong. He's he's a I don't know the guy I've never spoken to him, but he's a counterbalance to me. He's a guy that if I've got a strong opinion about something. I mean, he tends to be more tech focused, at least that's what I've heard him talk about. But he's a very smart investor that does his research, that's put up good returns, good numbers. And it's a counterbalance. And in this interview, he talks about how he has gone to Silicon Valley trying to find bad news, trying to find things that would intimate that this run is nearly over, trying to find things. Now, remember, Saying it's a bubble and saying it's about ready to collapse are two different things and if you need any background for that, you know go listen to what Soros and Druckenmiller on they go no no look for bubbles You want to ride bubbles? You want to get out before they pop now? This is this is kind of a touchy subject But do I think there's a bubble in that industry? Yes. Do I think it covers every single stock in that industry? No If a lot of these companies continue to make the kind of money they're making right now

over the next two to three years, will current valuations be bubbly? No. Is it possible they do that? Yes. It's possible, right? We have to acknowledge that. And especially considering the rinse that so many of these AI names and chip names recently went in. And what I'm looking at this for right now is I'm looking at it is almost like a right tail hedge. Now we have not put anything on. I have not jumped in long micron and all these other kinds of stuff. So that hasn't happened. But what I'm looking at right now is the entertaining the idea that what if I'm right? What if this does have two to three years more in it? We've said it before. Chase and I have said it many times, which is look at these companies continue to make this kind of money.

they can justify these earnings. It's got to make it over a long period. They can justify today's prices and potentially even more. And how? I mean, again, I don't think the hyperscalers are where you want to look because of the spend, but the companies that are benefiting from hyperscalers, right? When you look at the kind of money they're knocking out, let's use Micron, for example. Let's say it continues to throw up results that are similar or in line. for the next two to three years with what they've currently done. Now, when you go look at the numbers, when you go talk to people from Microsoft, when you go talk to people from Amazon, they will tell you, look, there is a massive, Elon was just talking about it the other day, there is a massive shortage in RAM. And there's even projections that after the appetite for all these expensive chips is filled, there still isn't enough RAM.

Right that there will still be a shortage in RAM with it when we fill the shortage of compute There's still the RAM is still going to be an issue and it's a foundry issue meaning you've got this huge upsurge in demand for RAM memory of all kinds and They're just aren't the foundries to put it out and that capacity can increase by about 20% a year Meanwhile demands increasing by over a hundred percent a year Now could that stop on a dime? Absolutely. You're staring down the Cisco problem, which is you know One of those AI updates could be just like what happened with fiber optics in the early 2000s where you started finding ways to condense those light pack, you know, I'm not an engineer. I hate getting out over my skis talking about this kind of stuff. But basically they found more efficient ways to package that. And all of a sudden we realized, oh, we don't need nearly as much

fiber optic cable as we thought because we just figured out a way to condense this stuff, get more information through the existing fiber we have.

I would, I fully expect things like that to happen and they already have to a certain extent, right? Some of these, you know, they've strung together, uh, TPUs from Google. We've seen examples of this, but we have to acknowledge the possibility that those, those things continue to happen. And at this point, I don't really have a plan yet. We're still working on that. I'm still figuring out if that's what we want to do. Cause it's got to balance that with the opportunities and risks we see out there, right? Meaning. One of the things I know for sure, I don't know that this is a generational opportunity, AI. I don't know that it's a generational opportunity at these prices. What I do know are generational opportunities or international equities and international assets writ large. Why? I mean, you got record delta between the valuations. So I don't want to get too distracted, but what I am very much considering is putting positions in the book that add like a right tail heads to that kind of stuff and is look, I am so fundamentally in value based. I am going to be a skeptic on this AI thing. At the same time, we have to entertain. How can we be wrong? What do we not see? Right? It's the bullet you don't see that gets you. So we got to, we, we got to look at that. I hope that I'm probably going to catch a lot of flak for that, but go listen to that. Go listen to that podcast. And I'm just telling you, that's a very knowledgeable, very smart guy.

That runs a very successful fund and he's been right a lot and I don't like admitting it I want to sit here and talk about how ridiculous the valuations are how we shouldn't touch any of this how it snake oil blah blah blah blah blah right at the end of the day our jobs to make business and manage risk and We got to look into it more I got to do more work I got to feel more comfortable But I am starting to look at these things especially after after the sell-off they've been in and starting to think you know We might need to consider a right tail hedge and we've got a little bit of exposure through TSM things like that But you know you guys have heard our thoughts. I we're not hiding them Just it's tough. It's tough to buy things trading at you know, 60 times revenue But then you got to also go look at the growth rates I mean that's one of the things that I've stubbed my toe on so many times

looking at valuations and forgetting to extrapolate out Okay, this company's growing at 49. Let's say they can't continue growing at 49%. And 49 is the number I just pulled out because I was looking at Mercado Libre the other day and I believe they're still growing at 49%. But let's pull it out, right? 49-50% growth. Let's say that growth accelerates, decelerates to 35% over the next five years. Let's go run those numbers out and see where that leaves us based on today's price. I think it's so easy to look at a price today and go, that's ridiculous.

and not think about, well, maybe this growth justifies it. Now, obviously there's a lot of crazy stuff out there like Palantir. Good luck putting your, I think they're a great company with great products. That thing is probably so crazy. You know, that to me is insane. But you start looking at some of these other ones, like for instance, Nvidia right now, it has the lowest forward earnings multiple that it has at any time in the last five years. Now we said margins are the most right most mean reverting data set in history and the margin game will probably went out in the end But at the same time we got to pay attention to that look at a company like microns right trading at 20 times Unlike the hyperscalers right that's why I will still say I think it's bit weird watching people bid those up but You flip over to the picks and shovel companies. I mean if this land rush continues for another three years These companies will stack so much cash. They'll be able to buy back stock. It'll be transformational just like it was for so many of those energy companies So it's just something we got to be open to we'll continue to key us key in to any thoughts if we put that right tail hedge on we'll discuss it and let you know I guess that I always want to be transparent in these kind of things but I think it's I think it's really important that we entertain the opposite of Of our own opinions and keep an eye out Iran war And this will be it. I'll finish after this, but I don't really have anything concrete. I just think it's over. I think when I think I ran resuming the kinetic exchanges and our response or apparent lack thereof at this point, I think tells a big story. I think Trump has gotten to the point where he is extremely bored with this. I think he sees it as dead weight.

And it looks to me like he's ready to capitulate and it looks to me like they are going to try to push the nuclear narrative as justification. They're going to try to paint this as a mission accomplished. They're going to do what I

think is the only play they really got. Again, people are like, no, we can do this, we can do that. Look, if there was a solution to open the straight and come out with the conclusions we wanted to that did not require putting hundreds of thousands of troops on the ground, We would have done it. We would have done it. I don't believe there is a solution that doesn't involve putting hundreds of thousands of troops on the ground and I do not think that's an acceptable risk reward premise. As much as I hate to say this and I don't want this for us and I don't think it's good for the region and I don't think it's good, we're the one that kicked the hornet's nest. And I think Trump has realized that and realized that there are no good options. And I think he's done. That's what it looks like to me. And I think depending on how this rolls out, I think this could be the effective end of his presidency. And the reason I'm saying that is, I'm not saying I know it will be. I just think there's gonna be a lot of supporters and a lot of people that are gonna be shocked and ticked when they see what we agree to. And I'm probably gonna be supportive of the idea. Just because, like we've said from the very beginning, I don't think there's any, there's no good choices.

The best choice was to not go well. We did that. So here we are So what that says for oil? I don't know Do I still want to hold some here? Yes Nothing that has happened now including Iran controlling the straight is Assuming and look, I just I think that's what it is I think any settlement is gonna leave them at least with partial control or the ability to toll going through the straight. I just Like they said they said it months ago We are not gonna give you something in negotiations that you couldn't take on the battlefield as hard as that is for me as an American to swallow Hey, if I was them, I wouldn't let it go and Unfortunately there in the driver's seat because we put them there. So, you know, there's another example. It means to say like Well, that's cuz Trump sucks you idiot. You vote. Yeah, I did. Yeah, I did But it is what it is. So on the oil side of it i know chase and i have a bit of a disagreement i think he thinks this is kind of i don't want to speak for him he's not here but he and i spoke today i think he thinks this is just more of a biding time i just don't get that sense i think trump has had his fill i think he wants the porcupine quills out of his mouth i don't feel like he takes the thing and and and i agree with him i i'm meaning i don't think that there's anything left to accomplish there i really don't not unless you're gonna put hundreds that you know in all the stuff that comes with that um

So I You know the this dip in oil does not make me want to build back up my position Especially not before the midterms if they and here's my logic The straight of hormones has been closed now for almost half a year and the price of oils is 75 Okay, even if you get a half reopening of the sort whatever the case may be Nobody has an incentive to see the price of oil go up dramatically before the midterms We all know that the shortages and the issues in the oil market aren't gonna be fixed even if we just walk away But what I have learned from this is that The the spot price of oil is a much more I it's not the right word to use fungible is is is not this holy accurate metric that I eat I did not believe that oil could do this. I thought the market was too big. I'm not alleging anything conspiratorial. I do think if you listen to US authorities and members of the administration, I think it's obvious that they were taking actions. What does that mean? Who knows? Was there directive intervention in the markets? I would be surprised if there wasn't any.

Certainly seems to be some direct intervention by those connected to the administration, which is certainly unseemly and unsightly But if I am right and this is over and he's gonna Acknowledge that we're not gonna take the straight right if that's part of the deal then I just I think you've completely clipped the right tail on the on the oil trade and And for that right now now that I say that watch oil rip 200 I just you know I said that The ultimate buy the or sell the news moment would be when this thing's over Again, I I just I don't know what to make of oil after watching what's happened over the last six months and if and if the price can stay between 70 and 90 with the straight close for six months Once you open it regardless of who who's in control? The same people that didn't have an incentive to watch the price go up to 130 while the straight was closed Don't have an incentive to go watch it go up to 130 After the straights closed so I It's feeling like a bit of a dead trade to me I still think it's like holding vol in the portfolio should still have some if you don't take advantage of this weakness, but Overall if you've got a big outsize bet and oil, I you know, I would definitely trim that back we have So anyway, that's about it guys that does it for me Uh, I believe do we have jobs numbers coming up tomorrow? This is where we need the brain trust. He tracks all this stuff. I think we have jobs numbers coming out tomorrow. I believe chase and I will both be on the podcast tomorrow. So

we'll see you then. As always, follow chase and I on social media on X. I'm at KYR radio. Chase is at pine cone macro. Get the video feed on YouTube.

You guys know the drill. Have a wonderful evening. We'll see you tomorrow. You're listening to Know Your Risk Podcast. Download and subscribe at Know Your Risk Podcast.